

Investor Fee Disclosure

Deribit Options Program | Version 1.0 | 2026-05-19

This document describes management and performance fees, multi-currency (BTC / ETH / USDC) valuation and collection, and how covered-call collateral spot is treated differently for each fee. Binding terms are governed by the signed investment management agreement.

1. Fee overview

Item	Rate / rule	Notes
Management fee	1.0% p.a. (quarterly)	On quarterly average AUM_mgmt
Performance fee	10%	Only on new profits above the high water mark (HWM)
Billing unit	Per investor (consolidated)	All authorized sub-accounts merged
High water mark	Required	Tied to NAV_perf only; no performance fee until new high

2. Two bases: performance NAV vs. management AUM

Covered calls require investor BTC/ETH spot as collateral and margin. Spot affects strategy alpha and custody scale differently, so we use two bases:

Basis	Includes investor collateral spot?	Used for
Performance NAV (NAV_perf)	No	Period P&L, HWM, performance fee
Management AUM (AUM_mgmt)	Yes (authorized collateral spot in sub-accounts)	Management fee average AUM

2.1 Performance NAV (NAV_perf) — excludes collateral spot

- Definition: Sum of USDC-equivalent equity across authorized sub-accounts, **minus** agreed investor collateral spot (valued at Deribit index on settlement date).
- Includes: Options, margin, stablecoins, strategy realized/unrealized P&L (USDC equivalent).
- Excludes: Investor-owned BTC/ETH held only for covered-call collateral and its price moves.
- Purpose: Performance fee rewards options strategy results, not spot beta.

2.2 Management AUM (AUM_mgmt) — includes collateral spot

- Definition: NAV_perf **plus** agreed collateral spot in sub-accounts (USDC equivalent).
- Rationale: Collateral uses margin and operational resources; the manager oversees overall risk.
- Formula: Quarterly management fee = average AUM_mgmt × 1.0% × (days in quarter / 365).

3. Multi-currency valuation (BTC / ETH / USDC)

Deribit accounts are segregated by collateral currency (BTC, ETH, USDC books). All billing uses official data at the **settlement snapshot**, converted to USDC equivalent.

Asset	Valuation
USDC and linear legs	USDC balance
BTC book equity	BTC equity × BTC index (USD) on settlement date
ETH book equity	ETH equity × ETH index (USD) on settlement date
Investor collateral spot	Quantity × same index (same basis as NAV_perf deduction)

3.1 Consolidated formulas (conceptual)

$NAV_perf = \Sigma \text{ sub-account USDC-equivalent equity} - \text{investor collateral spot (USDC equivalent)}$

$AUM_mgmt = NAV_perf + \text{investor collateral spot (USDC equivalent)}$

$\text{Period P\&L (performance)} = NAV_perf,end - NAV_perf,start - \text{net subscription adjustment}$

Net subscription adjustment: deposits increase the baseline, withdrawals decrease it; confirmed per Deribit transaction log and mutual acknowledgment.

4. Performance fee (10%) and high water mark

$\text{Distributable profit} = \max(0, NAV_perf,end - HWM - \text{net subscription adjustment for the quarter})$

$\text{Quarterly performance fee} = \text{distributable profit} \times 10\%$

$HWM \text{ after settlement} = NAV_perf,end - \text{quarterly performance fee (post-fee HWM; management fee separate)}$

HWM tracks **NAV_perf only, not** collateral spot. A drop in BTC/ETH spot does not directly lower HWM; options profits can still trigger a performance fee when NAV_perf makes a new high. Subscriptions and partial redemptions follow the IMA or side letter.

5. Collection: may fees be collected in USDC?

Yes. Although the account holds BTC, ETH, and USDC, invoices are issued in **USDC equivalent** at settlement; collection is primarily in USDC.

5.1 Suggested collection order

1. Deduct from USDC balance first;
2. If USDC is insufficient, convert the fee amount from BTC or ETH at the settlement index (in-account conversion or spot reduction);
3. Use the settlement index; conversion fees/slippage per agreement;
4. If unpaid by the deadline, the manager may pause new entries per agreement.

5.2 Profits denominated in BTC or ETH

Strategy gains may appear as BTC, ETH, or USDC (e.g. inverse options settled in coin). Investors are **not** required to wire fiat separately. The USDC-equivalent invoice is satisfied from account assets (including accumulated coin profits) via index conversion and USDC collection.

5.3 Management fee collection

Management fee is calculated on AUM_mgmt (including collateral spot), invoiced in USDC equivalent, collected as in section 5.1 (USDC first, then index-based conversion).

6. Settlement cycle and investor reports

Item	Suggested terms
Regular settlement	Quarter-end (last day of Mar / Jun / Sep / Dec, UTC)
Valuation time	Settlement day 23:59 UTC snapshot
Invoice issued	Within 10 business days after quarter-end
Payment due	Within 5 business days after invoice (or auto-deduct from sub-account)
Redemption	Accrued fees settled on effective redemption date

Each quarterly report should include at least:

- NAV_perf and AUM_mgmt at quarter start and end;
- Collateral spot quantity and USDC-equivalent value (reconciled to NAV_perf deduction);
- Net subscriptions, distributable profit, HWM changes, management and performance fee detail;
- Per-book equity and settlement index prices;
- Actual collection currency and conversion notes (if any).

7. Worked example (simplified)

Item	Amount (USDC equivalent)
HWM at quarter start (NAV_perf)	100,000
NAV_perf at quarter end	106,000
Collateral spot at quarter end (management only)	40,000
AUM_mgmt at quarter end	146,000
Net deposit in quarter	2,000
Distributable profit	$106,000 - 100,000 - 2,000 = 4,000$
Performance fee (10%)	400
Management fee (avg AUM_mgmt $\approx$ 140,000, 1.0% p.a.)	≈ 350

Illustrative only; actual amounts use settlement-day official balances and agreed rates.

Appendix: FAQ — Does HWM include BTC/ETH spot?

- **No.** If HWM were tied to total equity including spot, a spot drawdown could block performance fees even when options are profitable.
- Under this program, HWM tracks NAV_perf only (collateral spot deducted). Spot declines do not directly lower HWM.
- Management fee has no HWM; it uses AUM_mgmt (including spot). Lower spot reduces management fee base (custody scale), not performance HWM.
- The agreement should fix collateral spot quantities and reconcile quarterly so NAV_perf stays consistent.

8. Risks and disclaimers

- Short-volatility option strategies carry risk of loss; this document is not a guarantee of return.
- HWM prevents double-charging performance fees; it does not guarantee NAV_perf exceeds prior highs.

- Multi-currency conversion and collection may be affected by index prices, liquidity, and exchange rules.
- Collateral spot price risk remains with the investor; performance fee excludes spot moves; management fee includes collateral scale.
- Past performance is not indicative of future results; seek tax and regulatory advice independently.
- Deribit official statements prevail in disputes; if this document conflicts with a signed agreement, the agreement controls.

Manager: _____ Contact: _____

Investor acknowledgment: _____ Date: _____

Fee logic described here aligns with the Deribit options strategy engine's book segregation and USDC-equivalent reporting. This document is not an official Deribit statement.